Market positioning

1.3.1.3 Meeting customer needs · Unit 1 · Mr. Akram — Akademy

Market positioning

Establishing the image/identity of a brand so customers perceive it in a certain way vs rivals — e.g. Ferrari (luxury) vs Wizz Air (low-cost). Clear positioning differentiates the business and guides its marketing mix.

Market mapping (perceptual maps)

Plot competitors on two chosen criteria (e.g. price vs quality; necessity vs luxury; lo-tech vs high-tech) to see the competition and spot a gap in the market. Benefits: reveals opportunities and crowded positions. Drawbacks: a snapshot based on perception, and a 'gap' may simply have no demand.

Market segmentation

- **Demographic** — age, gender, income, family.
- **Geographic** — region/country (e.g. McDonald's local menus).
- **Psychographic** — lifestyle, values (e.g. Coca-Cola).
- **Behavioural** — usage, loyalty, occasion (e.g. Nike).

Advantages: tailored products/promotions, higher sales, less wasted marketing, new segments spotted. Drawbacks: costly research and product lines, segments can be too small, risk of missing the wider market.

Product vs market orientation

- **Product orientation** — leads with design/quality/performance, little research (Apple, Gillette, Rolex); drives innovation but risks ignoring customers.
- **Market orientation** — decisions based on market research into customer needs; most successful firms use it; lowers risk of failure but can be less radically innovative.